

M/s Mahadev Kraft & Boards Pvt. Ltd. v. Dakshinanchal Vidyut Vitran Nigam Ltd.

High Court of Judicature at Allahabad · Division Bench · 22 May 2017 · Writ-C No. 43274 of 2014 · **Writ dismissed following Dev Prayag; additional-security demand upheld.**

HEADNOTE

A writ challenging a distribution licensee's demand notice for additional security under clause 4.20 of the U.P. Electricity Supply Code, 2005 is dismissed by following Dev Prayag Paper Mill, which held that such a demand is not bad.

FACTUAL SUMMARY

The petitioner, an industrial consumer of Dakshinanchal Vidyut Vitran Nigam Ltd., challenged a demand notice dated 23 June 2014 requiring additional security under clause 4.20 of the U.P. Electricity Supply Code, 2005. On 20 August 2014 a Division Bench noted identical connected petitions, including Supreme Ceramics Limited (Writ Petition No. 51844 of 2009), and restrained the respondents from demanding additional security until further orders. After listing applications in 2017, the writ was heard on 22 May 2017.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.20

additional security

HOLDING

Following M/s Dev Prayag Paper Mill (Pvt.) v. State of U.P. (Writ-C No. 30898 of 2016, 21 March 2017), a challenge to a demand notice for additional security under clause 4.20 of the U.P. Electricity Supply Code, 2005 fails: the demand of additional security by the distribution licensee is not bad, and the writ petition is dismissed. ¶ 1

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
M/s Supreme Ceramics Limited v. Paschimanchal Vidyut Vitran Nigam Ltd. (Writ Petition No. 51844 of 2009, order dated 7.10.2009)			20.8.2014	Referred
M/s Dev Prayag Paper Mill (Pvt.) v. State of U.P. & Ors. (Writ-C No. 30898 of 2016, 21 March 2017)			1	Referred